



PAGERO

Country Compliance Report:

Italy

Information class: Restricted



Country Compliance Report: ITALY

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

The information provided by Deloitte which is part of this material was solely prepared as general information. It was prepared to meet with specific requirements and was not prepared for any other purposes or objectives. Changes in conditions over time may affect the contents of the material and its content. We do not express any opinion or conclusion in this material.



1. Terminology

This section outlines general and country-specific terminology for Italy, which will be used throughout the whole document.

Term	Explanation
AdE	Revenue Agency of Italy – AdE (Agenzia delle Entrate)
AGID	Agency for Digital Italy (AGID)
Centralized e-invoicing	Where trading parties are required to transmit eDocuments to a predetermine infrastructure normally owned or maintained by the state. The infrastructure acts as an exchange engine, conducting mandatory checks, before delivering the invoice to the target receiver. The transmission path may be regulated, and additional requirements on the format, I&A (such as eSignature) may be necessary
Codice Destinatario	The recipient code is an alphanumeric code consisting of seven characters, useful for the transmission of electronic invoices. The code identifies the recipient of an electronic invoice.
Esterometro	Esterometro is a tax reporting scheme that was originally put into place in 2019. Under this scheme, VAT registered businesses in Italy are required to report sales and purchase invoices to or from foreign businesses and non-established businesses to the Agenzia Entrate quarterly. Esterometro will be abolished starting from 1st January 2022 and replaced with submission of e-invoice to SDI.
PEC	Certified email (it., Posta Elettronica Certificata) is a special type of email in use in Italy and some other countries. Certified email is meant to provide a legal equivalent of the traditional registered mail.
SDI	Sistema di Interscambio (SdI) refers to the central data hub that the invoice data needs to be transmitted to. Several channels are available for the delivery and extraction of the invoices, such as web interfaces or web services



2. General overview

This section provides an initial introduction into the local e-invoicing environment within Italy, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Revenue Agency of Italy – AdE (<i>Agenzia delle Entrate</i>) • Digitalization authority – AGID (<i>Agenzia per l'Italia Digitale</i>) • Ministry of Economy and Finance of Italy – MEF (<i>Ministero dell'Economia e delle Finanze</i>) • Sogei – governmental IT company developing and maintaining the governmental e-invoicing hub “SDI”
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Presidential Decree no. 633/1972 • Law decree 7 March 2005, number 82 (so called “CAD”) • Decree of President of the Council of Ministers 22.02.2013 • Decree of President of the Council of Ministers 03.12.2013 • Decree of the Minister of Economy and Finance 17.06.2014 • Decree of President of the Council of Ministers 13.11.2014 • Circular n. 18/E of 2014 • The Legislative Law no. 50/2016 • Resolution n. 46/E of 2017 • Budget Law n. 205 of 27 December 2017 • Act of the Director of the Tax Agency no. 73203/2018 dated 04.04 2018 • Act of the Director of the Tax Agency no. 89757/2018 dated 30.04. 2018,

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- Circular letter no. 8/E dated 30.04. 2018 by the Tax Agency
 - Appendix A – Technical Specifications
 - Circular letter no. 13/E dated 02.07. 2018 by the Tax Agency
 - Decree law of 23 October 2018 no. 119, updated per Conversion law of 17 December 2018 no. 136



3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Mandatory
Varying invoicing regimes¹	• Yes – for tax free, B2C, B2B and B2G
e-Invoicing model	• Centralised model • The EU Council, by its Decision (EU) 2018/593, authorized Italy to apply the special derogating measure up to 31 December 2021 (save for further extensions)
e-Invoice definition²	• An invoice is considered as a valid eInvoice only if the following requirements are met: • Computerized document in FatturaPA format • Transmitted electronically to SDI • Meets the content requirements outlined in Article 21 alt. Article 21 <i>bis</i> of the Presidential Decree no. 633/1972 and the content requirements published in applicable technical specifications • For B2G e-invoices additionally: I&A is ensured with eSignature
Scope of taxpayers the e-document mandate applies to	• Taxpayers incl. non-Italian businesses with Italian VAT registration. Both domestic and cross-border invoices are in the scope. • As of January 2019, general enterprises with an annual revenue greater than EUR 65.000 are mandated to issue electronic invoices. As of 1 January 2023, Italy requested an increase of threshold from EUR 65.000 to 85.000.

¹ It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

² Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

	- The following taxpayers were exempt from the above requirements. They are obliged to follow the mandatory e-invoicing according to the following timeline: 1 July 2022: Mandatory e-invoicing for taxpayers in the scope of flat-rate regimes, amateur sports associations, and entities with yearly revenues not exceeding EUR 65.000. PNRR decree 1 July 2022: Mandatory e-invoicing for general enterprises with revenues greater than EUR 25.000. PNRR decree 1 January 2024: Mandatory e-invoicing for all remaining taxpayers PNRR decree
Mandatory AoR (document response) process	Mandatory in B2G e-invoicing
Implementation / roll-out plan	Gradual roll-out plan has been finalized, and now mandatory to all taxpayers



4. Before switching to e-invoices

4.1. IT³ registration

There is no VAT registration threshold, therefore, Italy also does not contain any provision for exemption from registration. However, a special regime is provided for taxable persons whose turnover is no higher than EUR 65,000 per year. In this case, no VAT is applicable on their supplies and no VAT on purchases is recoverable. These persons are subject to a 15% (or 5% in the first five years of activity) tax, substitute of VAT and income taxes.

Italy has requested an increase of threshold from EUR 65,000 to EUR 85,000. If the [derogation](#) from Article 285 of Directive 2006/112/EC is approved this 'special measure' would be backdated from **1 January 2023** and remain effective until **31 December 2024**

Italy IT number format: IT04196760013

In case of closing a business, the taxpayer must submit a declaration to the AdE within 30 days from the date the operations relating to the company's liquidation are terminated.

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	Registration with SDI to obtain Codice Destinatario and passing the technical conformance requirements
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	The supplier should request from the buyer or buyer's intermediary SDI identification

³ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

	code (Codice Destinatario) which must be stated in the eInvoice submitted to SDI • Agree on the distribution method⁴ of eInvoices between the trading parties, in particular, whether it should be PEC, as in such case PEC address⁵ of the recipient should be stated in the eInvoice and Codice Destinatario must be set to "0000000" in the eInvoice submitted to SDI • Any invoices with the Codice Destinatario field empty will automatically be rejected by SDI
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• No explicit requirements • Changing to eInvoicing in the middle of a fiscal year is possible subject to specific requirements being met

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed
Whether statement of outsourced issuance is required on the invoice	• Legal and technical outsourcing of e-invoice issuance from the supplier to a third party established within the EU is allowed. An explicit indication that the invoice is issued "on behalf of" (not in the name of) the supplier must be clearly stated on e-invoices. Also, a prior outsourcing agreement with certain content requirements is needed, as set out by AdE. • Outsourcing of e-invoice issuance to a third party not established in the EU (or in a country without relevant mutual assistance treaty) can be allowed, subject to additional requirements.

⁴ It is the ambition of AdE to create a directory where this data would be easily accessible for the trading parties. However, no such exists at the moment and no timelines when it will be available have been communicated

⁵ Note that SDI does not control the correctness of the provided PEC address

Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	No specific requirements
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	There are no expressed provisions in Italian law regarding the content of the eInvoice issuance outsourcing agreement; AdE has however issued a Circular stating that both parties should give their consent to the issuance procedures and be in dialog about the elements characterizing the operation to be performed, and to comply with the obligation of progressive/sequential numbering of the invoice
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	The supplier has to communicate the e-invoicing outsourcing in certain cases. As provided by art. 21 para. 1 of the Presidential Decree n. 633/1972, the issuance of the electronic invoice by the customer or third party, established in a country with which there is no legal instrument governing the mutual assistance, is allowed only if a prior notification (as provided by measure 9 December 2004, of Italian Tax Authorities) is given to AdE and provided that the Italian Taxpayer has started his activity for at least five years and hadn't received, in the previous five years, any contestation of substantial violations of value added tax.
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	See section above

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Similar to what is stated about in respect of issuance by a party not established in a country with which there is no legal instrument governing the mutual assistance, notification to the Italian Tax Authorities is required.



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Commentary
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	FatturaPA, at least version 1.6.1
Other document format(s) commonly used for exchange between trading parties	Direct exchange is not allowed
Mandated platform(s) required to have connection with for e-document processing	Sistema di Interscambio (SDI)
Other platform(s) relevant for e-document processing	N.a
Schematron(s), XSD schema or other official mechanisms ensuring document content	Fatturapa.gov.it
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	Codice Destinatario: - Public administrations: 6 digits (belonging to the PA). PA's can be found here. The issuer must provide the correct code - PEC - The issuer must provide codice destinatario 0000000 and provide the PEC email. PEC is not supported for B2G - Private companies: 7 digits (belonging to the company or an intermediary). Formato Transmissioner: - Public administrations: FPA12

	Private companies and consumers: FPR12
Other technical aspects	Italy is working in several initiatives: - Connection between SDI and PEPPOL to enable easier pan-European e-invoice exchange - Support for other EN-compatible formats, such as UBL 2.1, CII and PEPPOL BIS v3 which should be possible to use starting from 2019 to fulfil the requirements of eProcurement directives

5.2. Communication with SDI

Regulations in Italy foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	SPCoop – domain port system within the Public Cooperation System, SDICoop – application system with a service using a “web service” model via HTTPS protocol, SDISFTP – data transmission system between remote terminals using the SFTP protocol. - It is as well allowed to use Webportal provided by a Service Provider accredited with SDI – like Pagero.
Manual	AdE provides a SDI webportal and an app to allow the issuer to automatically obtain the buyer’s identification data and the e-mail address through a QR-code. Those subjects having a VAT number can benefit from this by accessing their dedicated area on AdE website.
Other options	Certified Electronic Mail – certified email or a similar email system based on technologies which certify the date and time the communications are sent and received and the integrity of the same.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

- 1) **The supplier** must generate an electronic file following the FatturaPA specifications containing the relevant tax information of the commercial transaction
 - a. E-invoices must be transmitted to SDI according to one of the variations below and have a unique progressive numbering, which will be used by SDI for the purpose of differentiating the name of the file transmitted to SDI by the same transmitter:
 - i. an XML file containing a single invoice,
 - ii. an XML file containing a single batch of invoices,
 - iii. a file in a compressed (.zip) format that contains one or more files of type 1) and/or 2).
 - b. For B2G e-invoices, the application of e-signatures for I&A is mandatory
 - c. Both B2B and B2C e-invoices, the application of e-signatures for I&A is optional
- 2) **The supplier** must submit such e-invoice to SDI within the following time window:
 - a. Domestic transactions: within 12 days from the moment of transaction between the trading parties,
 - b. Deferred and summary invoices as well as intra-EU and export invoices: no later than 15th day of the following month from the transaction.
- 3) **SDI**, once the e-invoice has been submitted, SDI will perform validations, described under section 5.5. Communicated maximum SLA is 5 days, however, in the majority of cases, this process happens much quicker.
- 4) **SDI** will:
 - a. Upon a **successful validation**, return a positive Clearance Response together with a unique alphanumerical code [It., *Identificativo Sdi*] to the supplier and attempt to distribute the validated e-invoice to the buyer.
 - i. The distribution of e-invoices is done through the same communication method that the taxpayer has selected to connect with SDI.
 - ii. Communicated maximum SLA is 10 days.
 - b. Upon an **unsuccessful validation**, return a negative Clearance Response to the supplier with rejection code notifying the reason for not passing the validations.

- i. In the event an e-invoice is rejected by SDI, no Credit nor Debit Note should be sent to SDI, as a rejected invoice is legally not considered to have been issued.
 - ii. A rejected invoice must be re-submitted to SDI within five (5) days from the receipt of rejection, by indicating the date and the number of the original invoice previously submitted.
 - iii. In case it is not possible to re-submit e-invoice with the same date and number, it is possible to issue:
 - 1. An invoice with a new date and new number by indicating the date and the number of the original invoice previously submitted; or
 - 2. An invoice with a specific numbering (e.g. 1/R or 1/S) from which it is evident that the new invoice is a document that amends the previous rejected one. Such new invoices should be registered in a specific sectional VAT ledger.
- 5) **The supplier**, as the main rule, **is not allowed to distribute the e-invoice to the buyer**. Exceptions are possible in the following scenarios:
- a. The invoice is issued under the *Flusso semplificato* schema (described at the end of this section), or
 - b. SDI notifies the supplier in Clearance Response that the e-invoice is not deliverable for technical reasons not attributable to SDI (e.g. if PEC the inbox is full, or the address provided by the Supplier is incorrect). SDI will make such e-invoice available to the recipient on AdE website, while the supplier is required to promptly notify the buyer thereof, either with a notification that the invoice is available on the designated area of AdE website or by providing a copy of the approved invoice,
 - c. SDI will not distribute B2C invoices or receipts. Such will be available on the designated area of AdE website where the consumer can obtain the original invoice. The supplier is required to notify the consumer that the original invoice is available there and distribute a copy of the original invoice to the consumer. The consumer may however opt out from receiving such notification and invoice from the Transmitter.

5.3.2. Flusso semplificato

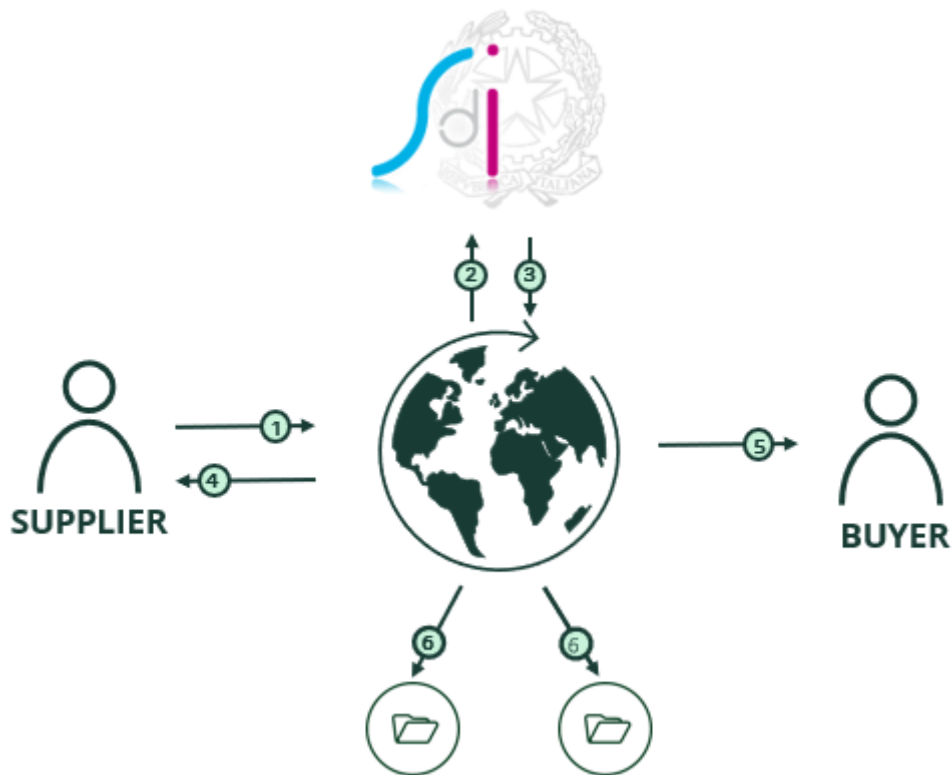
This section describes the requirements for cross-border outbound documents such as sales invoices

The Simplified Flow (it. *Flusso semplificato*) can be optionally adopted by those trading parties who interact with SDI through the same transmission channel (same *Codice Destinatarlo*). This is applicable only to B2B transactions via the same intermediary.

In this scenario, once the intermediary has received a positive Clearance Response from SDI, it may distribute the e-invoice directly to the buyer. In all other respects it follows the

process as described under section 5.3.1 above. More about *Flusso semplificato* can be found [here](#).

The picture below outlines the general aspects of the Simplified Flow:



5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

In Italy, all taxpayers are required to accept e-invoices in FatturaPA format. There is no additional requirements to validate the e-invoices received from SDI.

5.4.2. Self-billing

In order to issue a self-billed eInvoice, the following is required:

- The eInvoice must be labelled as self-billed invoice in "*TipoDocumento*", and
- Provide the required party identification data of each party in the corresponding sections of the e-invoice: supplier data under supplier identification and buyer data under buyer identification.

Transmission of self-billed invoices via SDI replaces the obligation of presentation of an analogue copy of a self-billed invoice to AdE territorial office. With note n. 73328/2019, the Customs Agency provided the following clarifications on the issuance of the self-invoices for the removal of goods from VAT warehouses; in particular:

- Generally, these self-invoices can be issued electronically via SDI (option);
- However, in case of mismatch between the value of goods at the time of introduction into the VAT warehouse and the value of the same goods at the time of removal from the VAT warehouse (e.g. because of processing activities), the self-invoices must be issued electronically via SDI (obligation).

AdE in Circolare 14/E/2019 states that in the event of self-billing for gifts or for self-consumption, the data of the transferor / provider must be entered both in the "Transferor / provider data" (*Dati del cedente/prestatore*) section and in the "Transferee / customer data" (*Dati del cessionario/committente*) section. It must be stated that it is a "self-invoice for gifts". This document must be numbered according to the progressive number of the sales invoices and be noted in the register of invoices issued and must contain an indication of the normal value of the goods, the applicable rate and the related tax and in the electronic invoice that will be transmitted to the SDI.

5.4.3. Cross-Border (Sales invoice)

This section describes the requirements for cross-border inbound documents such as sales invoices

Starting from 1st July 2022 it will become mandatory to report e-invoices to SDI (this obligation will replace the creation and submission of the periodic *Esterometro* reports). However, such operation is possible already today. It will greatly follow the process for issuance of domestic e-invoices, with a number of deviations:

- 1) The supplier must set the Codice Destinatario to "XXXXXXX"
- 2) Upon reception of a positive Clearance Response from SDI, the supplier shall then distribute the invoice to such non-Italian buyer, i.e. SDI will not handle exchange of such e-invoices.

Timing. The cross-border sales invoice must be reported to SDI within 12 days from the date of transaction, i.e. same timeframe applies as for domestic transactions.

5.4.4. Cross-Border (Purchase invoice)

Starting from 1st July 2022, *Esterometro* will be abolished and replaced with reporting of individual e-invoices in FatturaPA format. The following types of invoices must be reported to SDI:

- Purchases from non-resident customers and suppliers, including:
 - Domestic supplies,
 - IC acquisitions,
 - Exports or imports without customs declarations, and

- Purchases of services from non-residents.

It is important to note that the Vatican City State, and the Municipalities of Livigno and Campione d'Italia are non-EU territories. Thus, purchases related to these regions must adhere to the compliance regulations associated with this section.

- The following invoices may be excluded:
 - Any sales invoices reported through SDI. The non-resident is still entitled to a paper/PDF invoice from the Italian supplier since SDI will not issue it.
 - Imports or exports where a customs document was raised since this will be automatically reported to the tax authorities

The obligation does not include non-residents.

The supplier would have to create a new report document that must be submitted to SDI, according to the following criteria:

- Codice Destinatario must be set to the Italian customer's own
- Document type must be set to TD17, TD18 or TD19
- Italian *natura codes* must be assigned
- Preferably, new separate sequential numbering range must be assigned, specific to such reports
- Date of report submission must be set according to the schedule as described under [Bozza guida fatturazione \(agenziaentrate.gov.it\)](https://www.agenziaentrate.gov.it/bozza-guida-fatturazione)
- It is not clear whether it is required to attach the original received foreign invoice with the submission to SDI⁶. It is, however, strong recommendation of Pagero to attach such original invoice to the report submitted to SDI.

In the event the foreign invoice includes both goods and services, AdE does not provide clear guidance how this should be handled, therefore following options could be applied:

- The Italian buyer splits the received invoice into two reports, e.g. with TD17 and TD19 document type code, or
- The Italian buyer requests the foreign supplier to send separate invoices for goods and services, instead of combining them in a single document.

Once the Italian buyer has reported such invoice to the SDI, upon successful validation, SDI will return both SDI ID and a new invoice document. The Italian taxpayer is required to archive:

- The original invoice received from the supplier,
- The invoice report submitted to SDI,
- The response from SDI with SDI ID, and
- The new invoice report issued by SDI.

⁶ See https://www.agenziaentrate.gov.it/portale/documents/20143/451259/Guida_compilazione-FE_2021_07_07.pdf/e6fcdd04-a7bd-e6f2-ced4-cac04403a768

The reason why both the document submitted to SDI and the one received must be archived is since they justify the two registrations made in the corresponding VAT registers: the SALES VAT register and the PURCHASE VAT register. It is, however, not necessary that they are kept in the same archive package, while what is relevant is that they are easily searchable in the e-archiving system.

Note that from the perspective of the Italian VAT regulations, the document received from a non-EU established seller is not considered as “invoice”, instead, the Italian regulator will rather consider the reports submitted to SDI (TD17 and TD19), as invoices from the fiscal perspective.

Timing. Cross-border purchase invoices must be reported to SDI by 15th day of the month following the one in which the invoice has been received.

5.5. AoR (response) process

B2G AoR process

According to the technical specifications for the B2G e-invoicing process, if a public authority wants to reject an e-invoice it must issue a Notification of rejection (Client Outcome Notice) to SDI, which SDI will provide to the supplier.

In case such rejection has been done within the 15-day period, such invoice will be erased from SDI system, and the supplier will be able to re-submit the same eInvoice with the same unique invoice number without issuing a Credit or a Debit Note prior to that.

In case a rejection has been done later than 15 days from the receipt, the supplier must firstly, issue a Credit/Debit Note in FatturaPA format with e-signature applied to it and then issue a new e-invoice with e-signature applied to it.

B2B and B2C AoR process

The Italian regulations do not foresee a digital AoR process for either B2B or B2C e-invoices.

5.6. SDI validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, or shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

[eIGOR- eInvoicing GO Regional the national project](#) founded by the European Commission to enable the national electronic invoicing system to exchange invoices in compliance with the European standard. This project suggested that countries within the EU can use SDI.

For each file successfully received, SDI performs a series of validations. These controls are performed for the following purposes:

- as an operation necessary to minimise the risk of errors in the processing phase, and
- as a filtering tool for the buyer to prevent possible litigation activities.

Failure to pass these controls will lead to rejection by SDI. Such rejections are sent directly to the supplier and never reach the recipient. e-invoice rejected by SDI is not considered to have been issued.

SDI performs the following validations:

- attributes and uniqueness of the transmitted file,
- file size,
- document integrity,
- authenticity of the signature certificate,
- eSignature is mandatory for B2G eInvoices and optional for B2B eInvoices,
- invoice format compliance,
- consistency and validity of the invoice content,
- uniqueness of the invoice,
- deliverability of the invoice.

The following processes including corresponding notifications take place during the eInvoice exchange process via SDI:

- 1) SDI assigns to each correctly received file an identification number and carries out Controls:
 - a) If the controls fail, SDI will send a **Rejection Notice** to the Transmitter,
 - b) If the controls were successful, SDI will:
 - i) distribute the eInvoice, together with a **Metadata File**, to the receiving party, and
 - ii) send a **Delivery Receipt** to the transmitting party
- 2) In the event that, for technical reasons not related to SDI, delivery to the receiving party is not possible within the established time limits, SDI will send a **Failed Delivery Notice** to the Transmitter:
 - a) If the receiving party is a public administration, SDI is responsible to contact the recipient to promptly resolve the problem in order to proceed with distribution,
 - b) If after 10 days from the date of transmission of the Non-delivery notification, SDI fails to deliver the eInvoice to the receiving party, it will send to the transmitting party a **File Undeliverable Notice** (Certificate of successful transmission of the invoice with delivery failure),
 - c) Such notification entitles the transmitting party to deliver the eInvoice directly to the receiving party using other channels, e.g. ordinary e-mail, PEC, etc., bypassing SDI,
- 3) For B2G processing: In the event, SDI does not receive any communication within a 15-day period in respect of a specific eInvoice, SDI will send a **Deadline Passed Notice** to both the transmitting and the receiving party

- a) Such notification means that SDI considers issuing process to be finalized,
 - b) If the same eInvoice is being re-submitted after such notification, it will be rejected by SDI.
- 4) See section 5.4.3 e-invoice rejection via SDI
- 5) All receipts and notifications are prepared according to the FatturaPA format.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

Having a PDF Presentation (a human-readable copy) of the Tax eInvoice issued in FatturaPA may be confusing. To ensure correct originals management, Pagero Online in addition to our standard technical controls adds a special wording “Copy Tax Invoice” on PDF Presentations where the Tax eInvoice has been issued as machine-readable format file. The legal content of such copy always remains unchanged.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Besides those exceptional scenarios described above, the taxpayers are not allowed to exchange tax e-invoices directly with each other.

Item	Commentary
Push communication	• N.a.
Pull communication	• N.a.
E-mail distribution	• N.a.
Webportal⁷	• AdE website, only in some cases (see section 5.3.1)
Scanning inbound invoices	• N.a.
Scanning outbound invoicing	• N.a.

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

⁷ Note, however, that prior to using an external portal, like Pagero's Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note
What are the options to correct an invoice if the customer returns the goods	• Credit note
What are the options to correct an invoice if the customer paid too much	• For B2B, in this case the invoice issued and transmitted via SDI should be cancelled via the issuance and transmission of a credit note through the SDI.
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Other
Other scenarios with different correction option	• Depends on the type of missing data
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• Supplier
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	• No

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• Allowed, but the only invoice valid for fiscal purposes is the e-invoicing.
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• Allowed
Whether any conditions apply, and which, to the dematerialisation	• It possible to e-archive the paper invoice only after a specific process determined by law, the so-called "dematerialization process", which requires to ensure identical content of the documents and application of a qualified e-signature or e-seal

Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• Not allowed
Whether any conditions apply, and which, to the materialisation	• No information is currently available

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

There has been no published information relating to scenarios where the SDI is not accessible or temporarily down. Nor has there been published any contingency process for the situation where the taxpayer is not able to issue e-invoices in due time due to technical difficulties.

5.12. Regular Exporter

There is a special VAT regime for Italian exporters called *Esportatore Abituale* – Regular Exporter, where such taxpayers can buy products or services without paying VAT for production of goods or services, with the condition of exporting said products or services outside of Italy later.

Regular Exporters are those who, during the previous year, have carried out sales operations abroad (exports or intra-community sales) for an amount exceeding 10% of their turnover.

If an Italian company qualifies as a Regular Exporter, this company will need to request a “*Dichiarazione di intent*” – Declaration of intent from SDI. If the request made by the Italian company gets approved by SDI, the Italian company will receive a receipt with the approved declaration of intent.

Once the Italian company has been approved as a “regular exporter”, the regular exporter will need to send his supplier the receipt of their declaration of intent. The supplier of the regular exporter can verify the validity of the declaration of intent with [SDI](#).

The last step, as established by [provision n. 293390/2021 of 28 October 2021](#), will be to fulfil certain fields when the supplier of the regular exporter is issuing to the regular exporter the tax-free invoice, such as natura code 3.5 “Not taxable following declarations of intent”, “*Intento*” in the Data Type (*Tipo dato*), the protocol of receipt of the declaration of intent and its progressive number separated by the sign “-” or by the sign “/” (e.g. 08060120341234567-000001) in the Text Reference (*Riferimento testo*), and the date of the approved declaration of intent receipt in the Reference Date (*Riferimento data*).



6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	- Domestic B2G, B2B and B2C invoices, following the document types listed under the section 10.3 <u>Cross border transactions</u> - As of 1 January 2022, Esterometro will be abolished and, consequently, all cross-border invoices (export, import, intra-community, etc.) will have to be sent to SDI on transactional basis.
Documents mandatory for issuance by buyer	For B2G receiver, AOR

Item	Commentary
Self-billing allowed	Yes
Simplified invoice allowed	Yes, if the transaction total amount incl. VAT <EUR 400

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	- Yes - The taxpayer can adopt any numbering that allows to uniquely identify the invoice. Following options are possible: - o a sequential numbering per year, quoting the year of reference on the

	invoice (e.g. 1/2013, 2/2013, 3/2013 1/2014, 2/2014, 3/2014); ○ A sequential numbering, within each calendar year without quoting the year of reference (e.g. 1, 2, 3..., 1, 2, 3) • a sequential numbering "forever" without resetting numbering at the end of each calendar year
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• No, but recommended. It depends if the company keeps a separate section of the VAT ledgers
Allowed to start a new sequential numbering every year	• Yes
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• No, numbering required per registration
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• Yes, as a general rule. Specific rules are provided for the invoices issue within 12 days starting from the tax point.

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

6.3. Indirect tax (IT)⁸ rates

This section illustrates the applied IT⁹ rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
22%	Standard	All other taxable goods and services. It. " <i>Aliquota IVA ordinaria</i> "
10%	Reduced	Medicines, Supplies of food and drink in restaurants, bars and hotels, Supplies of electricity, methane and liquid petroleum, all for domestic use, Electricity and gas for use by extraction enterprises and industrial enterprises, Accommodation services rendered by marina resorts (effective Jan 1, 2016). It. " <i>Aliquota IVA ridotta</i> "
5%	Reduced	The Budget Law for 2016 introduced a reduced 5% VAT rate applicable to the provision of social, health and education services (e.g., medical diagnostics, provision of hospital services and care) by Cooperative Sociali and their consortiums (i.e., special entities aimed at rehabilitation and care

⁸ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

⁹ Local name Imposta sul Valore Aggiunto (IVA)

		of socially disadvantaged persons) to certain categories of people, such as the elderly, the disabled, drug-addicted persons and AIDS patients. These services were previously taxable at 4%.
4%	Reduced	Books, newspapers and periodicals, Certain foodstuffs, E-books and all other e-publishing materials identified with codes ISBN (International Standard Book Number) and ISSN (International Standard Serial Number), Medical equipment, Supplies of food and drink in a staff restaurant. It. <i>"Aliquota IVA Minima"</i>
0%	Zero	Intra-Community supplies, Exports of goods outside the EU and related services, and Supplies of some services supplied to another taxable person established outside Italy
	Exempt	Education (under certain conditions), Finance, Insurance, Postal services, Medical services

6.4. Other IT charges

Social security contribution¹⁰

The social security contribution paid to the pension fund or to INPS is typically applied by sole proprietor professionals, e.g. notaries, accountants, auditors, lawyers, engineers, surveyors, doctors, journalists, sales agents, pharmacists etc. The exact fee applied can vary significantly depending on the pension fund to which it must be paid, typically 4%. The fee is calculated based on the net amount.

Withholding Tax¹¹

As a rule, Withholding Tax (WHT) it is applied by the withholding agent to the invoices for the purchase of services and services of self-employed and dependent work. WHT is typically applied to the income from self-employment.

WHT is levied on the fees charged by the self-employed towards the holders of a VAT number (companies or professionals). The ordinary WHT rate corresponds to 20% of the taxable amount, but there are exceptions for certain transactions and for particular professional categories.

WHT is calculated by the application of a percentage, e.g. 20%, to a value that will include the fee fixed with the customer, the reimbursement of lump-sum expenses and not related to the performance of the service and the social security contribution paid to the pension fund or to INPS.

Sugar Tax

The tax in the consumption of soft drinks, as per [Law 160/2019](#), covers non-alcoholic sweetened beverages, meaning finished products and those prepared to be used as such

¹⁰ Italian, *Cassa previdenziale*

¹¹ Italian, *Ritenuta d'acconto/d'imposta* or *Ritenuta acconto/imposta*

after dilution. The tax is set to pay ten (10) euros per hectolitre for finished products, and 0.25 euros per kilogram for products prepared for use after dilution. The tax will enter into force in January 2024.

Plastic Tax

The plastic tax concerns the consumption of single use items made with (even partially) plastic materials that have, or are intended to have, the function of containing, protecting, handling or delivering goods or food products, as per [Law 160/2019](#). The tax is fixed at the rate of 0.45 euro per kilogram of plastic material. The tax will enter into force in January 2024.

6.5. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Italy. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	No, but recommended
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	No, but the Italian Tax Authorities can request to translate them the invoice in Italian in order to perform their checks.
Sequential numbering	Yes. Must include a reference to the relevant calendar year (example of the format for the numbering: 1/2010, 2/2010, etc)
Required to mention copy or duplicate in case a copy is issued	Yes
Reference in case of outsourced issuance	The invoice must mention if it has been issued by a third party / outsources party

Supplier data	
Full legal name of the supplier	Yes
Allowed to abbreviate or shorten the legal name of the supplier	No
Full address of the supplier in country of establishment	Yes
Allowed to mention the PO box address instead of the legal address of the supplier	No
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	Yes
IT identification number of the supplier in the country of establishment	Yes, if the taxpayer is registered for VAT purposes.

Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• No
Legal form of the supplier	• Yes
Trade register number of the supplier	• No, but recommended
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• No, but recommended
Place of legal seat of the supplier (Headquarters)	• Yes
Other supplier data	• According to Article 2250 of the Civil Code, companies registered in the commercial register are obliged to indicate: 1) the commercial register office where the company is registered; 2) the registration number in the register; 3) for companies, the share capital; 4) for limited liability companies, the sole shareholder, if any; 5) the state of liquidation of the company, if any.

Customer data	
Full legal name of the customer	• Yes
Allowed to abbreviate or shorten the legal name of the customer	• No
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• No. The invoices should be addressed to the registered office of the customer. It is possible to add a second address in order to specify the place of the delivery.
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• No
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• No. It should be quoted the VAT number of the customer in the country of arrival of the goods.
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• Yes. It depends on the type of transaction

Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• Yes
Other customer data	• Yes, If the customer is an Italian private subject, the fiscal code has to be mentioned.

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Only if it differs from the invoice date
Date of prepayment	• Only if it differs from the invoice date
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No
Shipped from location (for the supply of goods)	• Yes
Shipped to location (for the supply of goods)	• Yes
Status of the goods (e.g. in bond, in free circulation)	• No, but recommended
Incoterms	• No, but recommended
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• Yes
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• Yes
Mandatory to mention the total IT amount due in the national currency	• Yes
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• All. It is mandatory to indicate the VAT in the national currency of Italy in case VAT is due in Italy.

Exchange rate (if the invoice is not issued in the local currency)	No
Which exchange rate must be applied in order of priority	The exchange rates of the date of the tax point of the transactions published by Banca d'Italia
Terms of payment	No, but recommended
IBAN and BIC number of supplier	No, but recommended

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	Yes
List the required references in case of exemption or reverse charge	- Export should be quoted <i>"operazione non imponibile"</i> - VAT exempt transactions (except from Article 10, no. 6 of the Presidential Decree no. 633/1972) should be quoted <i>"operazione esente"</i>; - Transactions subject to the reverse charge mechanism (except from Article 10, no. 1,2,3,4 and 9 of the Presidential Decree no. 633/1972) in another EU member state should be quoted <i>"inversione contabile"</i>; - Self-invoice should be quoted <i>"autofatturazione"</i> - Goods subject to the so called <i>"regime del transito"</i> or subject to <i>"vigilanza doganale"</i>, out of VAT scope, should be quoted <i>"operazione non soggetta"</i>.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	Yes
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	Yes
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	No

Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	No. In case of invoices issued for advance payment it is recommended to quote "advance payment". Please consider that the field "CondizioniPagamento" of the XML of the e-invoice must be entered with the code TP03.
Specific references required in case invoicing is outsourced	Yes
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	Yes
Other specific requirements/references to be mentioned on an invoice	No

6.6. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	Yes
Maximum amount for simplified invoices	EUR 400,00
Other supplies for which a simplified invoice can be issued	Credit note
Simplified invoices limited to certain type of supplies	Yes
Simplified invoices not allowed for certain transactions	Yes
Minimum content requirements on a simplified invoice	Art. 21-bis of the Presidential Decree n. 633/1972 provides that the content of simplified invoice is similar to the general one but it is possible to not mention separately the amount of VAT from the amount of taxable base (indicating in any case the data which allows to calculate VAT due). It is allowed to indicate for the client just the fiscal code or VAT number (ITA established subjects) and the VAT ID number (EU subjects).

Invoices subject to the national invoice requirements (not self-bills)	• Invoices issued by an established supplier that are taxable in our country, • Invoices issued by a non-established supplier on which VAT is due by the supplier
(other) Invoices subject to the national invoice requirements (not self-bills)	• No information is currently available

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

Full technical specifications can be found here [Electronic invoicing PA - FatturaPA](#)

6.7. Rectification document

In Italy, Credit/Debit must be issued as rectification documents. A Credit/Debit should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• Yes
Reference to original invoice required on a credit note	• Invoice number and date. The number and date of the original invoice must be reported in the field 2.1.6 of the XML of the credit note.
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• No
Reason for credit required	• No, but recommended

Sequential numbering	
Separate sequential credit note numbering required	• No
Allowed to issue one credit note to correct different invoices	• Yes

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

Credit and Debit Notes must fulfil the same content requirements as the original Tax invoice they refer to and be issued in FatturaPA format. In addition, the following applies:

- Not mandatory, however, best practice to: mention that this is a credit / debit note
- Reference to the original Tax invoice including invoice number and date of issue
- Clear indication that the amount mentioned on the credit note is crediting earlier amount

- As the law provides for specific cases in which VAT may be credited, it is recommended to mention such.

Rectification documents must be marked up with specific document type (TipoDocumento):

- Credit note = TD04
- Debit note = TD05

Pagere Online creates corrective invoices according to the content requirements of the Complete invoice.

6.8. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction. No explicit requirements in Italy.



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuing I&A are provisioned for	• B2B: Any means Business Controls¹², EDI, eSignature accepted, • B2G: only eSignature	• B2B: Any means Business Controls, EDI, eSignature Validation accepted • B2G: No explicit requirements
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• See section 4.3	• No explicit requirements, but analogous application of issuance outsourcing is not excluded • An explicit agreement is strongly recommended

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

¹² An example of such business controls could be:

- an ERP which integrates all developments of the company, i.e. supplies, purchases, management of the storage, accountancy; this system must guarantee the cross-references between the documents produced during these processes;
- a Ledger related to all changes made on the documents during these processes;
- a Ledger related to all changes made on data business, which refer to the invoicing;
- a Ledger related to all activities made by ERP, for example the matching between the purchase order and the invoice

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• QES or AdES • Permitted formats are enveloping PKCS#7-CAdES, PDF, XML (XMLDSIG-XAdES) • Detached signatures are not allowed unless they are XAdES signatures • Signature and validation policy references are not allowed in signatures
Automated e-signing	• Allowed
Time-stamping of e-signature	• Required

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• Validation is mandatory, including verifying that an appropriate hashing algorithm has been used • However, as SDI is performing eSignature validation as part of its controls, the receiving party is released from this obligation
Time-stamping of validation data	• No requirements



8. Document retention

This section describes archiving requirements regarding the invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• The original eInvoice in FatturaPA with eSignature including certificate or other I&A evidence as appropriate Rectification documents • Receipts and notifications from SDI • Cross-border AP invoice reporting requires archiving of: ◦ The original invoice received from the supplier, ◦ The invoice report submitted to SDI, ◦ The response from SDI with SDI ID, and ◦ The new invoice report issued by SDI ◦ (These documents do not have to be archived in the same archiving package though)
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property¹³	• 10 years.

¹³ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Start point of retention period calculation for invoices not related to immovable property	Starting from the date of submission of the annual return of the FY in which the invoice is issued
Retention period for e- invoices related to immovable property	10 years
Start point of retention period calculation for invoices related to immovable property	Starting from the date of submission of the annual return of the FY in which the invoice is issued
Retention period for other than regular invoices or invoices related to immovable property (if existing):	N.a
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	N.a
Outsourced archiving	- Allowed - A formal agreement must be established between the taxable person and a third party responsible for archiving its e-invoices
Archiving abroad¹⁵ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	- Allowed for private companies - Archiving abroad is limited to countries with which Italy has a relevant mutual assistance treaty - Notification of storage abroad has to be filed beforehand to the Italian Tax Authority (TAX return and AA7/10 form)
Other requirements in relation to electronic document retention	- Accreditation of the e-archive is possible but not mandatory - Public authorities may archive only with accredited service providers. Archiving must be done on Italian soil - A Data Archiving Manager (<i>Responsabile della conservazione, RDC</i>) must be appointed from within the taxpayer's organisation, while the actual execution of the archiving activities can be outsourced. A special archiving delegation letter must be signed for this purpose - A detailed description of the electronic storage system (<i>Manuale di conservazione</i>) must be stored electronically. Certain content is mandatory for the <i>Manuale di conservazione</i>

¹⁵ In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

- The electronic storage system must be able to generate and differentiate between three packages of information in the storage process: transaction, archiving and distribution packages
- Time-stamp must be created by trusted third party
- Specific rules for search criteria in the archiving interface exist: Surname, Name, VAT number, Date, Corporate name, Fiscal code, SDI Identification number, Logical sequences of previous criteria
- According to Decreto-legge no. 119 from 23.10.2018 it is no longer mandatory to archive *Progressivo IVA* together with the purchase invoice, as the obligation for progressive numbering of purchase invoices has been removed and replaced with the obligation of having unique numbering of purchase invoices, which effectively can be replaced with *Identificativo SDI*.

8.1. Archiving with SDI

The trading parties can use SDI as their electronic archive using a service made available by AdE¹⁶. For this, the party will have to fulfil a registration process on AdE website.

¹⁶ It is done in a way that is rather adapted for small businesses, thus for large businesses it is recommended to continue archiving in a way they have been doing currently according to the Decree of President of the Council of Ministers 03.12.2013



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• Yes
Rectification document	• Yes, see section 6.7 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• No explicit requirements
Transportation documents	• No explicit requirements
Other	• See under section 10



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Penalties

Invoices not submitted through SDI system attract penalties between 90% and 180% of the VAT due. Penalties for the non-declaration of invoices in the 'cross-border' communication' will be €2 per invoice up to a ceiling of €1,000 per quarter. However, the tax authorities will initially accept a minor delay given the complexity of sending live invoices to SDI.

10.2. Public procurement

No information is currently available

10.3. Indirect tax reports

No information is currently available

10.4. Document types, subject to the mandate

Code	Description (IT)	Description (EN)	Flow
TD01	Fattura	Invoice	FE/Esterometro ¹⁷
TD02	Acconto/anticipo su fattura	Deposit / advance on invoice	FE
TD03	Acconto/anticipo su parcella	Deposit / advance on fee	FE
TD04	Nota di credito	Credit note	FE/ Esterometro
TD05	Nota di debito	Debit note	FE/

¹⁷ FE: *Fattura elettronica* (E-invoice); FES: *Fattura elettronica semplificata* (Simplified e-invoice); *Esterometro*: (Cross border report)

			Esterometro
TD06	Parcella	Fee	FE
TD07	Fattura semplificata	Simplified invoice	FES
TD08	Nota di credito semplificata	Simplified credit note	FES
TD09	Nota di debito semplificata	Simplified debit note	FES
TD10	Fattura di acquisto intracomunitario beni	Intra EU Goods Purchase invoice	Esterometro
TD11	Fattura di acquisto intracomunitario servizi	Intra EU Services Purchase invoice	Esterometro
TD12	Documento riepilogativo (art. 6, d.P.R. 695/1996)	Summary Document (art. 6, d.P.R. 695/1996)	Esterometro
TD16	Integrazione fattura reverse charge interno	Internal supplementary reverse charge invoice	FE
TD17	Integrazione/autofattura per acquisto servizi dall'estero	Supplementary/Self invoice for the purchase of services from abroad	FE
TD18	Integrazione per acquisto di beni intracomunitari	Supplementary document for the purchase of intra EU goods	FE
TD19	Integrazione/autofattura per acquisto di beni da non residenti ex art. 17 c.2 D PR 633/72	Supplementary/Self invoice for the purchase of goods from abroad (ex art. 17 c.2 D PR 633/72)	FE
TD20	Autofattura per regolarizzazione e integrazione delle fatture (ex art. 6 c.8 e 9 bis d.lgs. 471/97 o art. 46 c.5 d.l. 331/93)	Self invoice to regulate and integrate invoices (ex art. 6 c.8 e 9 bis d.lgs. 471/97 o art. 46 c.5 d.l. 331/93)	FE
TD21	Autofattura per splafonamento	Self invoice for splafonation [Plafond Exceeding]	FE
TD22	Estrazione beni da Deposito IVA	Extraction of goods from VAT/tax warehouse	FE
TD23	Estrazione beni da Deposito IVA con versamento dell'IVA	Extraction of goods from VAT/tax warehouse with payment of VAT	FE
TD24	Fattura differita di cui all'art. 21, comma 4, lett. a)	Deferred Invoice (art. 21, comma 4, lett. a)	FE
TD25	Fattura differita di cui all'art. 21, comma 4, terzo periodo lett. b)	Deferred Invoice (art. 21, comma 4, terzo periodo lett. b)	FE
TD26	Cessione di beni ammortizzabili e per passaggi interni (ex art. 36 d.P.R. 633/72)	Cession of depreciable assets and for internal assets movements (ex art. 36 d.P.R. 633/72)	FE

TD27	Fattura per autoconsumo o per cessioni gratuite senza rivalsa	Invoice for self consumption or for transactions without considerations (e.g. gifts)	FE
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10.5. Special content requirements

10.5.1. B2B e-invoices

invoices for supply of fuel and of services rendered by subcontractors to suppliers under public procurement, must set the following values in their e-invoices:

- Formato Transmissioner must be set to "FPR12"
- Codice Destinatario: (i) 7-digits or (ii) "0000000" and PEC address of the Recipient.

Further,

For supply of fuel

E-invoice should include following additional information:

- Under the section "*CodiceArticolo*" fields "*CodiceTipo*" and "*CodiceValore*" filled with the word "CARB" and a value indicating the type of fuel

If the trading parties have agreed that the registration number of the vehicle must be stated in the elnvoice, the field "*MezzoTrasporto*" should be used for this purpose.

For supply of goods and services rendered by subcontractors to suppliers under public procurement

This scenario is limited only to the relationships (contracts and / or other contracts) "direct" between the direct supplier in charge of the contract and the public administration, as well as such supplier and those subcontractors it has rendered with the exclusion of further steps under such public contract.

E-invoice should include the following additional information (in one of the data fields: "*DataOrdineAcquisto*", "*DatiContratto*", "*DatiConvenzione*", "*DatiRicezione*" or "*DatiFatturecollegate*":

- Codice Identificativo Gara / C.I.G., and
- Codice Unico Progetto / C.U.P.

10.5.2. B2G e-invoices

In addition to the Codice Destinatario (6 digits) and Formato Transmissioner (FPA12), the following data elements are required to be stated on elnvoices to the public administrations and mixed companies (*Parastatale*):

- Codice Identificativo Gara / C.I.G.
- Codice Unico Progetto / C.U.P.

- Codice Commessa (Public/Gov. order code)

10.5.3. Tax-free e-invoices

Starting as of September 1, 2018 for tax-free transactions. Such invoices should be issued electronically in OTELLO system.

10.5.4. Stamp duty

The Stamp Duty Tax (*Importo Bollo*) has been introduced by art. 6 of MEF decree of 17 June 2014 [Official Journal \(gazzettaufficiale.it\)](http://gazzettaufficiale.it).

Starting from January 1, 2020, the Italian regulator has introduced some changes in this respect. The most significant changes relate to the method of calculating the stamp duty and the fact that the stamp duty will be due on a quarterly basis rather than an annual basis.

- For transactions that are exempted from VAT and for transactions out of scope of VAT, exceeding EUR 77.47, an amount of EUR 2 is due as stamp duty tax for each issued invoice
- At the end of each quarter, the Italian tax authorities will calculate the amount of stamp duty due based on the data provided in the e-invoices transmitted through SDI. The taxpayer will be notified of the resulting amount due in its private area of the tax authorities' web portal for invoices and fees. If the taxpayer has not paid the sums due within 30 days of the notification, the Inland Revenue may proceed with registration on a permanent basis

Importo Bollo is due to payment separately and not as part of invoice settlement. It does not influence the tax base nor the VAT amounts. Importo Bollo is paid to the government under the F24 form.

Importo Bollo may, however, influence the total amount of the invoice, depending on whether the issuer or the receiver will pay it to the government.

- As standard, the duty to pay Importo Bollo is with the issuer and in that case, the total amount due to payment by the receiver does not change.
- In exceptional cases, provided that the trading parties have agreed upon that, the receiver may be liable to Importo Bollo. In such scenario the value of the stamp duty will be added to the total amount due from the receiver.

10.5.5. Split payment

Split payment mechanism means in simple words that when VAT is invoiced by a supplier, the VAT amount has to be paid by the buyer / recipient of the invoice to AdE. Since 2015, this requirement applied to all invoice issued towards public agencies. However, starting from July 1, 2017 this regime has been extended to include the following categories:

- Companies controlled by the Government or by individual Ministries,

- Companies controlled directly by local authorities (i.e., regions, provinces, major cities, municipalities, unions of municipalities),
- Companies directly or indirectly controlled by the companies defined under the two points above,
- Listed Companies included in the FTSE MIB index of *Borsa Italiana* (i.e., the Italian Stock Exchange)

The split-payment mechanism will also apply to all services subject to withholding tax, including services provided by self-employed individuals to all categories of clients covered by the split-payment rule.

The supplier can ask its customer to issue a certificate attesting that it qualifies for the split-payment regime.

10.6. Sanctions

Penalties will be applied in case of non-compliance with the new regulations. As stated in the new Italian Budget Law, an administrative fine of EUR 2,00 per invoice is applied and can reach the limit up to EUR 400,00 per month. This fine is reduced by half if the document transmission is made or corrected within the following 15 days.

Penalties **for sellers** range from 90% to 180% of the VAT not correctly documented, with a minimum of EUR 500 and between EUR 250-2.000 where the violation does not refer to taxable transactions.

The buyer who receives a document that does not meet the e-Invoice requirements (within four months of the transaction taking place) can regularise the transaction by self-issuing an invoice through the SDI system. If the transaction is not regularised, penalties equal to 100% of the undocumented VAT will apply.

Where the business fails to submit reports for the **cross-border** operations fail to submit or submits incorrect data, a penalty of EUR 2 per invoice (maximum EUR 400 per month) is applied. Penalties can be reduced by 50% if the transmission is made or corrected within the following 15 days.

10.7. eOrder mandate

The Budget law 205/2017 art. 1 co. 411-415 introduces the adoption of technical specifications and mandatory dates for the adoption of eOrders and eFulfillment related to the purchase of goods and services. Ministry of Economy and Finance of Italy (MEF) is in charge of the implementation of these requirements.

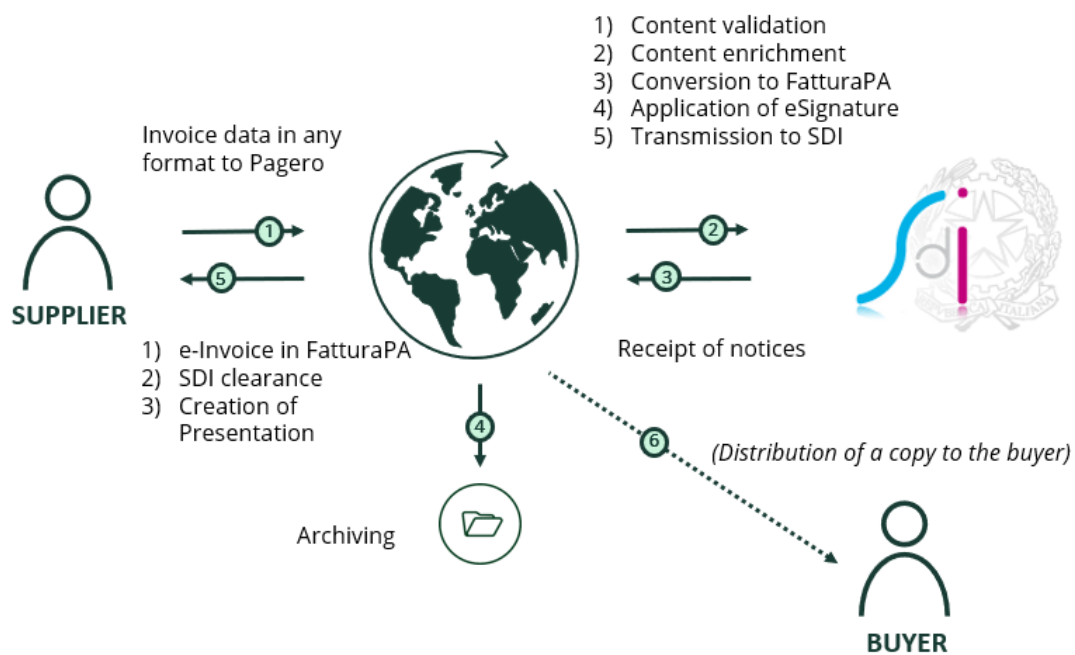
More details on this obligation is available in a separate report.



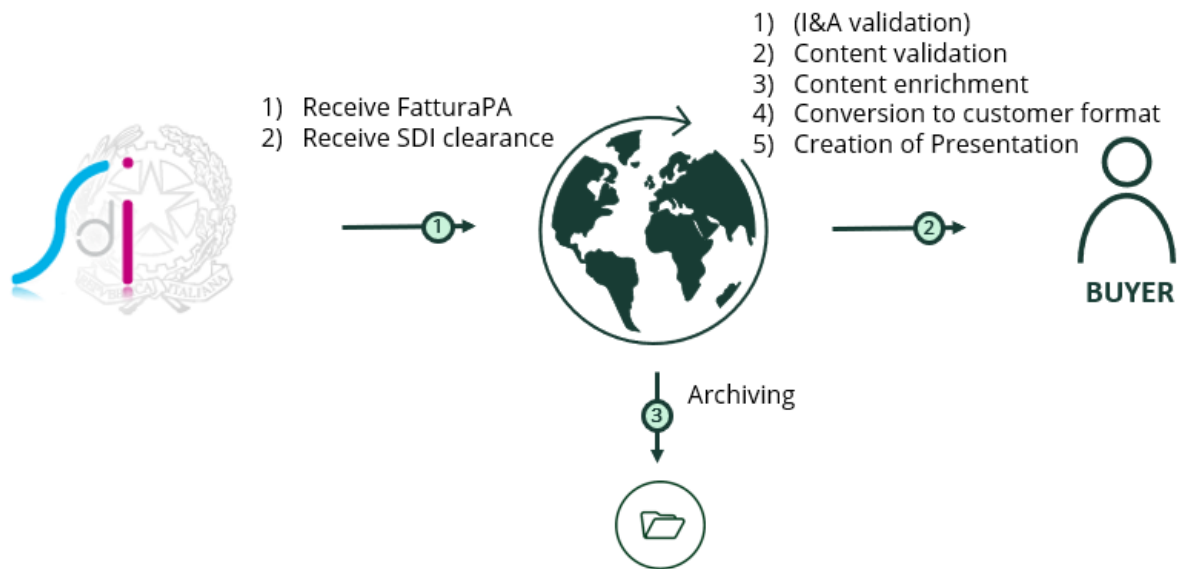
11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

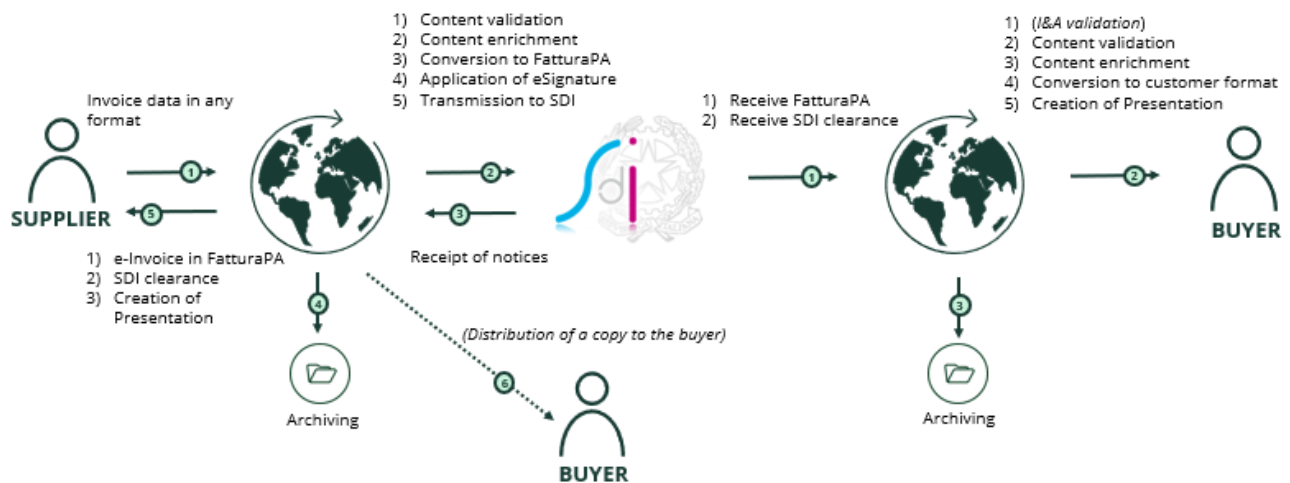
11.1. Document issuance (AR) with Pagero



11.2. Document reception (AP) with Pagero



11.3. Overall domestic flow



11.4. Reporting of cross-border sales invoices (AR) with Pagero¹⁸

Invoice reporting

- 1) Supplier provides data in supplier preferred format to Pagero (however, FatturaPA recommended)
 - a. With Codice Destinatario: XXXXXXXX
- 2) PAGERO performs i.a.
 - a. content validation, enrichment and conversion,
 - b. format conversion for FatturaPA,
 - c. *optionally, applies e-signature.*
- 3) PAGERO sends invoice for validation to SDI
 - a. Content requirements are the same as for domestic transactions, therefore SDI will perform same validations
- 4) PAGERO receives Application Response with Identificativo SDI (SDI ID) and provides it to the supplier
 - a. Error messages from SDI are the same as for domestic invoices
- 5) PAGERO archives the data received from the supplier, the FatturaPA invoice and the Application Response with SDI ID on behalf of the supplier

Invoice exchange

- 1) The supplier distributes the invoice to the buyer outside of Italy in agreed way and form incl. paper

11.5. Reporting of cross-border purchase invoices (AP) with Pagero

Invoice exchange

- 1) The buyer in Italy receives the invoice from the supplier outside in agreed way and form
- 2) The buyer needs to ensure that the received invoice includes the information sufficient to fulfill the reporting obligation
- 3) NOTE: The layout will follow the country specific requirements of the supplier's jurisdiction, i.e. it will not be Italy-specific (unless the Italian buyer would request a customization)

¹⁸ AdE (the Italian Tax Administration) offers a webportal, where businesses can report their sales and purchase cross-border invoices manually:

- <https://iampe.agenziaentrate.gov.it/sam/UI/Login?realm=/agenziaentrate>
- Please note that this is NOT the same portal as SDI, but directly of AdE
- To use this portal, the taxpayers have to obtain special log-in credentials from AdE

- a. In such way, data irrespective of the country will be provided to the Italian buyer in a streamlined process, in same format and delivered automatically into their system
- b. Then, the Italian buyer will be able to add Italy specific information, such as the new *document types*, *natura codes* and *codice destinatario*, after which they will provide a new file to Pagero for conversion into FatturaPA and reporting to SDI
- 4) This portal will not be connected to SDI, i.e. it will not report directly to SDI
- 5) The buyer will be able to offer its foreign suppliers standard Pagero Invoice Portal, to type invoice information manually

Invoice reporting

- 1) The buyer provides data in their preferred format to Pagero (however, FatturaPA recommended)
 - a. The content must include (none are received from the foreign supplier, i.e. the ITA buyer must add these upon reception and prior to reporting)
 - i. Codice Destinatario of Pagero,
 - ii. Document type and
 - iii. Natura Code
 - b. *Optionally, they can attach the original invoice received from the foreign supplier*
 - c. *It is strongly recommended, however, not mandatory to apply new sequential numbering to such invoices*
- 2) PAGERO performs i.a.
 - a. content validation, enrichment and conversion,
 - b. format conversion for FatturaPA,
 - c. *optionally, applies e-signature.*
- 3) PAGERO reports the FatturaPA invoice to SDI for validation
 - a. *incl. the original invoice from non-Italian supplier if it has been attached*
 - b. Content requirements are the same as for domestic transactions, therefore SDI will perform same validations
- 4) PAGERO receives Application Response and a NEW invoice from SDI
 - a. Error messages from SDI are the same as for domestic invoices
- 5) PAGERO archives the foreign invoice (if provided by the buyer), the FatturaPA invoice submitted to SDI, the Application Response and the new FatturaPA invoice on behalf of the buyer
 - a. If the buyer has received the invoice in paper, such paper invoice must be stored separately

12. Pagero recommended content:
invoice



Recommended Content Italy

Value name	M/O	Description	Comments
Invoice level			
Invoice number	mandatory	Invoice number	
Invoice date	mandatory	Invoice date, indicated by the supplier	
Payment due date	mandatory	date of payment, indicated by the supplier	
Payment terms	optional	Terms of payment	
Currency code	mandatory	Currency referring to the amounts	
Document Type	mandatory	Type that indicates if an invoice or credit note	
Duty Stamp	optional	Duty stamp	Defined as Dati Bollo in Italy and is required for some companies to provide.
Seller/Supplier information			
Name			
Address information			
Street	mandatory	legal/registered name of the supplier company	
Postcode	mandatory	street address	
Town	mandatory	zip code	
Province	mandatory	town/city name	
Country	optional	Province	The initials of the province should be provided if the country is Italy
Countrycode	mandatory	country	
		countrycode	
VAT-number			
Business Register number	conditional	Company VAT number	Defined as Partita IVA in Italy. Either VAT-Number or the Business register number must be provided
	conditional	Business register number of the company also defined as Tax Code in Italy	Defined as Codice Fiscale in Italy
Contact tel	optional	contact phone number	
Contact fax	optional	contact fax number	
Contact email	optional	contact email address	
Bankaccount information			
Accountnumber	optional	IBAN or bank account to which to make payment	Might be required by recipients
Swift/BIC	optional	Swift/BIC code to the bank	Might be required by recipients
Type (IBAN)	optional	Type of account	Might be required by recipients
RegistrationData			
Province of registration office		Initials of the province where the Companies' Registry Office at which the company is registered is located	
Company registration number	mandatory	Companies register registration number	Defined as Ufficio in Italy
	mandatory	Only in the case of a company (SpA, SApA, SRL), the field must be filled in with the share capital	Defined as Numero REA in Italy
Share Capital	mandatory	Only in the case of a joint-stock company or limited liability company, the field must be filled in to indicate if there is a single shareholder or several shareholders	Defined as Capital Social in Italy
Status of shareholders	mandatory		Defined as Socio Unico in Italy

Liquidation status	mandatory	Indication of whether the Company is in liquidation or not	Defined as Stato Liquidazione in Italy
Buyer/Recipient information			
Name	mandatory	Name of the buying company	
Address information			
Street	mandatory	street address	
Postcode	mandatory	zip code	
Town	mandatory	town/city name	
Province	optional	Province	The initials of the province should be provided if the country is Italy
Country	optional	country	
Countrycode	mandatory	countrycode	
VAT-number	conditional	Company VAT number	Defined as Partita IVA in Italy. Either VAT-Number or the Business register number must be provided, some recipients require both.
Business Register number	conditional	Business register number of the company also defined as Tax Code in Italy	Defined as Codice Fiscale in Italy
Unique identifier of the recipient (customer number)	mandatory	Customer number	Used to identify recipients in Pagero Online
Destination Code (routing code)	mandatory	Routing code	Often described as Codice Destinatario, for B2B this code exist of 7 characters. For B2G it's 6 characters. When the invoice should be sent by PEC-email the code should be '00000000'
E-mail	optional	Email to recipient	This e-mail will be used if PEC distribution should be used.
Phone number	optional	Phone number to recipient	This phone number will be the contact number for PEC distribution.
Invoice totals			
Total VAT amount of the invoice	mandatory	Total VAT amount of the invoice	
Total net amount of all line items	mandatory	Total net amount of all line items	
Total net amount including discounts/charges	mandatory	Total net amount including discounts/charges	
Total amount of invoice including VAT (Amount to Pay)	mandatory	Total amount of invoice including VAT (Amount to Pay)	
Rounding amount	optional	Rounding amount of total amount to pay	
VAT specification for each VAT rate			
Net amount	mandatory	Taxable base amount of rate	
VAT rate	mandatory	Tax rate	
VAT amount	mandatory	Tax amount	
			Defined as Natura code in Italy and is required if zero rate. The code consist of 2 characters with the syntax "N" + digit up from 1-7. Mandatory to provide when zero tax.
Tax code	conditional	Tax exemption code	
Tax exemption text	optional	Tax exemption text	The valid Natura codes can be found in last section on this page.
Tax Chargeability code	optional	VAT Chargeability	Defined as Esigibilità IVA in Italy and contains of a 1 character code, allowed codes is: [I]: VAT payable immediately [D]: unrealized VAT [S]: Split Payment

Line item level

Article description	mandatory	Article name
Unit of measurement	mandatory	Unit (UOM)
Quantity	mandatory	Quantity invoiced
Unit price	mandatory	Article unit price
VAT Amount for line	optional	VAT Amount for line
VAT Rate for line	mandatory	VAT Rate for line
Tax exemption code	conditional	Tax exemption code
Net amount for line	mandatory	Line net amount

Additional recommended content

Invoice level

Discount	optional	The amount for the discount
Amount	mandatory	Description of discount
Description	mandatory	Tax rate of discount
Tax rate	mandatory	
Charge	optional	The amount for the charge
Amount	mandatory	Description of the charge
Description	mandatory	Tax rate of charge
Tax rate	mandatory	
Invoice document reference	optional	Invoice document reference (for credit notes)
Invoice document reference description	optional	Invoice document reference description
Tender Reference	optional	Tender code
Project Reference	optional	Project code

Line item level

Discount	optional	The amount for the discount
Amount	mandatory	Description of discount
Description	optional	
Charge	optional	The amount for the charge
Amount	mandatory	Description of the charge
Description	optional	
Delivery Date	optional	Date of delivery
Description	optional	General description of the article/goods

Natura Codes

Code	Description	
N1	escluse ex art. 15	
N2.1	non soggette ad IVA ai sensi degli artt. da 7 a 7-septies del DPR 633/72	
N2.2	non soggette - altri casi	
N3.1	non imponibili - esportazioni	
N3.2	non imponibili - cessioni intracomunitarie	
N3.3	non imponibili - cessioni verso San Marino	
N3.4	non imponibili - operazioni assimilate alle cessioni all'esportazione	
N3.5	non imponibili - a seguito di dichiarazioni d'intento	
N3.6	non imponibili - altre operazioni che non concorrono alla formazione del plafond	
N4	esenti	
N5	regime del margine / IVA non esposta in fattura	
N6.1	inversione contabile - cessione di rottami e altri materiali di recupero	
N6.2	inversione contabile - cessione di oro e argento puro	
N6.3	inversione contabile - subappalto nel settore edile	
N6.4	inversione contabile - cessione di fabbricati	
N6.5	inversione contabile - cessione di telefoni cellulari	
N6.6	inversione contabile - cessione di prodotti elettronici	
N6.7	inversione contabile - prestazioni comparto edile e settori connessi	
N6.8	inversione contabile - operazioni settore energetico	
N6.9	inversione contabile - altri casi	
N7	IVA assolta in altro stato UE (prestazione di servizi di telecomunicazioni, tele-radiodiffusione ed elettronici ex art. 7-sexies lett. f, g, art. 74-series DPR 633/72)	

13. Pagero recommended content: invoice report

Recommended Content Italy - Invoice Report			
Value name	M/O	Description	Comments
Invoice level			
Invoice number	Mandatory	Invoice number	
Invoice date	Mandatory	Invoice date, indicated by the supplier	
Payment due date	Mandatory	Date of payment, indicated by the supplier	
Payment terms	Optional	Terms of payment	
Currency code	Mandatory	Currency referring to the amounts	
Document type	Mandatory	Type that indicates if the document is TD17, TD18 or TD19	Referred to as 'Codice Destinatario' in Italy
Routing code	Mandatory	Routing code	Will be hardcoded by Pagero
Supplier information			
			Party details for the cross border invoice issuer
Name	Mandatory	Legal/registered name of the supplier company	
VAT-number	Conditional	Company VAT number	Either VAT-Number or the Business register number must be provided. Should not be an Italian VAT number
Business Registration number	Conditional	Business Registration number	Should not be an Italian Business registration number
Address information			
Street	Mandatory	Street address	
Postcode	Mandatory	Zip code	
Town	Mandatory	Town/city name	
Province	Optional	Province	The initials of the province should be provided if the country is Italy
Country	Optional	Country	
Country code	Mandatory	Country code	Country code "IT" is not valid as value
Buyer information			
			Party details for the sender of the document
Name	Mandatory	Name of the buying company	
VAT-number	Conditional	Company VAT number	Defined as Partita IVA in Italy. Either VAT-Number or the Business register number must be provided, some recipients require both.
Business Register number	Conditional	Business register number of the company also defined as Tax Code in Italy	Defined as Codice Fiscale in Italy
Address information			
Street	Mandatory	Street address	
Postcode	Mandatory	Zip code	
Town	Mandatory	Town/city name	
Province	Optional	Province	The initials of the province should be provided if the country is Italy
Country	Optional	Country	
Countrycode	Mandatory	Country code	
Invoice totals			
Total VAT amount of the invoice	Mandatory	Total VAT amount of the invoice	

Total net amount of all line items	Mandatory	Total net amount of all line items
Total net amount including discounts/charges	Mandatory	Total net amount including discounts/charges
Total amount of invoice including VAT (Amount to Pay)	Mandatory	Total amount of invoice including VAT (Amount to Pay)
Rounding amount	Optional	Rounding amount of total amount to pay
VAT specification for each VAT rate		
Net amount	Mandatory	Taxable base amount of rate
VAT rate	Mandatory	Tax rate
VAT amount	Mandatory	Tax amount
Tax code	Conditional	Tax exemption code
Tax exemption text	Optional	Tax exemption text
Tax Chargeability code	Optional	VAT Chargeability
Defined as Natura code in Italy and is required if zero rate. The code consist of 2-3 characters with the syntax "N" + 1-2 digits. Mandatory to provide when zero tax.		
The valid Natura codes can be found in last section on this page.		
Defined as Esigibilita IVA in Italy and contains of a 1 character code, allowed codes is:		
[I]: VAT payable immediately		
[D]: unrealized VAT		
[S]: Split Payment		

Line item level

Article description	Mandatory	Article name
Unit of measurement	Mandatory	Unit (UOM)
Quantity	Mandatory	Quantity invoiced
Unit price	Mandatory	Article unit price
VAT Amount for line	Optional	VAT Amount for line
VAT Rate for line	Mandatory	VAT Rate for line
Defined as Natura code in Italy and is required if zero rate. The code consist of 2 characters with the syntax "N" + digit up from 1-7. Mandatory to provide when zero tax.		
Tax exemption code	Conditional	Tax exemption code
Net amount for line	Mandatory	Line net amount
The valid Natura codes can be found in last section on this page.		

Additional recommended content

Invoice level

Discount	optional	
Amount	Mandatory	The amount for the discount
Description	Mandatory	Description of discount
Tax rate	Mandatory	Tax rate of discount
Charge	optional	
Amount	Mandatory	The amount for the charge
Description	Mandatory	Description of the charge
Tax rate	Mandatory	Tax rate of charge
Invoice document reference	Optional	Invoice document reference (for credit notes)
Invoice document reference description	Optional	Invoice document reference description
Mandatory when credit notes		
Defined as Causale in Italy		

Tender Reference	Optional	Tender code	Defined as Codice CIG in Italy, it's an optional element but is recommended to be provided
Project Reference	Optional	Project code	Defined as Codice CUP in Italy, it's an optional element but is recommended to be provided

Line item level

Discount Amount	optional	The amount for the discount	
Description	Mandatory	Description of discount	
	Optional		
Charge Amount	optional	The amount for the charge	
Description	Mandatory	Description of the charge	
	Optional		
Delivery Date	Optional	Date of delivery	
Description	Optional	General description of the article/goods	

Natura Codes

Code	Description
N1	escluse ex art. 15
N2.1	non soggette ad IVA ai sensi degli artt. da 7 a 7-septies del DPR 633/72
N2.2	non soggette - altri casi
N3.1	non imponibili - esportazioni
N3.2	non imponibili - cessioni intracomunitarie
N3.3	non imponibili - cessioni verso San Marino
N3.4	non imponibili - operazioni assimilate alle cessioni all'esportazione
N3.5	non imponibili - a seguito di dichiarazioni d'intento
N3.6	non imponibili - altre operazioni che non concorrono alla formazione del plafond
N4	esenti
N5	regime del margine / IVA non esposta in fattura
N6.1	inversione contabile - cessione di rottami e altri materiali di recupero
N6.2	inversione contabile - cessione di oro e argento puro
N6.3	inversione contabile - subappalto nel settore edile
N6.4	inversione contabile - cessione di fabbricati
N6.5	inversione contabile - cessione di telefoni cellulari
N6.6	inversione contabile - cessione di prodotti elettronici
N6.7	inversione contabile - prestazioni comparto edile e settori connessi
N6.8	inversione contabile - operazioni settore energetico
N6.9	inversione contabile - altri casi
N7	IVA assolta in altro stato UE (prestazione di servizi di telecomunicazioni, tele-radiodiffusione ed elettronici ex art. 7-sevies lett. f, g, art. 74-sevies DPR 633/72)



14. Closing statements

14.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

14.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
25 May 2018	• Document created
09 April 2020	• Added new requirement for simplified invoices
28 January 2021	• Added content requirements “riferimento amministrazione” and “Tripletta di identificazione”
15 October 2021	• Section 11: Amended flowchart • Added Pagero recommended content • Added TD codes
03 December 2021	• Added clarifications on Importo Bollo • Added section “Pagero recommended content: invoice report” • Updated penalties for non-compliance with cross-border reporting obligation • Updated Retention requirements in respect of cross-border reporting obligation • Re-written the section on reporting of cross-border purchase invoices • Added flow-charts and step-by-step description of cross-border AR and AP reporting with Pagero
26 April 2022	• Clarified that for cross-border invoice reporting, Pagero recommends to attach the original invoice. • New taxpayers in scope added related to the PNRR decree updated the 13th April 2022
23 May 2022	• Section 3: Clarified scope for e-invoice mandate • VAT registration threshold updated, special scheme for distance selling does no longer exist in the EU
20 October 2022	• Updated archiving periods
22 February 2023	• Section 3: Update of threshold • Section 4.1: Update of threshold
09 May 2023	• Section 5.6: Added eIGOR
11 August 2023	• Section 10.1: Penalties